

COOPERATIVE PROCESS CHARTER

PEARBEMPCO

This document lists the general processes followed by the cooperative in managing its members, loans, payments, and benefits. This serves as confirmation that the listed processes are based on the cooperative's actual operations and may be used as reference for system development.

1. Member Record Management Process

The cooperative maintains records of all registered members.

Staff or authorized personnel manually updates member information when changes occur.

Member status is noted and updated in the records as active, inactive, beneficiary, or other applicable classification.

Authorized personnel reviews member records when needed for verification and reporting purposes.

2. Loan Application Process

A member fills out and submits a loan application form indicating the loan amount, purpose, co-maker name, and other required information.

Cooperative staff receives the application form and checks it for completeness.

Staff manually verifies the member's eligibility by checking the existing loan records, including the member's outstanding loan balance and compliance with minimum and maximum loan amount policies.

The completed application is forwarded to the authorized officer or approving personnel for review.

The application is either approved, rejected, or returned to the member for correction.

The member is personally informed about the outcome of the application.

3. Loan Approval Process

The submitted loan application is reviewed by the designated approving personnel following the cooperative's approval hierarchy.

Required signatures and approvals are obtained from the appropriate authorization levels as prescribed by cooperative policy.

Once fully approved, the loan details are recorded in the cooperative's loan register.

The loan amount, applicable interest, and total balance are recorded accordingly.

The member is informed of the approval and provided with the loan details.

4. Loan Payment Process

Loan repayments are processed through **payroll deduction**. The member does not need to visit the cooperative office in person to make a payment.

The member's loan payment is automatically deducted from their salary each payroll period based on the agreed repayment schedule.

The updated remaining balance is recorded.

The deducted amount is remitted to the cooperative and recorded by the staff in the payment records, noting the amount, payment method (payroll deduction), and date.

The payment amount is deducted from the member's outstanding loan balance.

Payment records are kept on file for monitoring and reporting purposes.

5. Loan Monitoring Process

The cooperative regularly reviews and monitors the active loan accounts of members.

Staff manually checks and updates loan balances, payment status, and account standing using the loan records.

Members may personally visit the cooperative office to inquire about their loan balance and payment status.

Loan records are updated whenever a payment or adjustment is made.

6. Benefit Distribution Process

The cooperative identifies members who are qualified to receive benefits based on their membership status and cooperative policies.

Authorized personnel manually prepares the benefit distribution list, specifying the type of benefit, base amount, and scheduled distribution date.

Applicable deductions are manually reviewed and computed per member, such as outstanding loan deductions, water billing obligations, or other charges. Members without an outstanding loan balance are not subjected to loan deductions.

The net benefit amount for each member is manually computed after all applicable deductions are applied.

The prepared distribution list is printed or presented for approval by the authorized personnel.

Members are personally informed that benefits are available and ready for claiming.

7. Benefit Claiming Process

The qualified member personally goes to the cooperative office to claim their benefit.

Staff verifies the member's identity and checks the benefit record to confirm the claim.

The member receives the net benefit amount in cash or as applicable.

The claim is recorded, noting the claim date and status.

Benefits that remain unclaimed are kept on record and followed up accordingly.

CONFIRMATION

This document confirms that the processes listed above represent the general operational processes followed by the cooperative and may be used as reference for system development and documentation.

Prepared by.

Aldrich A. Alimpolos
Developer/Programmer

Jenny Mae P. Perono
System Analyst

Pearl Paulene S. Sulana
Documentarian

Confirmed by.

Felipe C. Pagaduan
Pearbempco Chairman

Janice B. Barera
Pearbempco Manager

Sheila Cris K. Montifalcon
Pearbempco Staff